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ARTICLE COLLECTION SPOTLIGHT

Educating the Next Generation of Leaders

The Future of Leadership Development
Gaps in traditional executive education are creating room for approaches that are more tailored and democratic.
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Learn from People, Not Classes
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"We're Giving Ownership of Development to Individuals"
A conversation with chief learning officers

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Cern II

The Future *of* Leadership Development

Gaps in traditional executive education are creating room for approaches that are more tailored and democratic.

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Photographs by **ALEJANDRO GUIJARRO**

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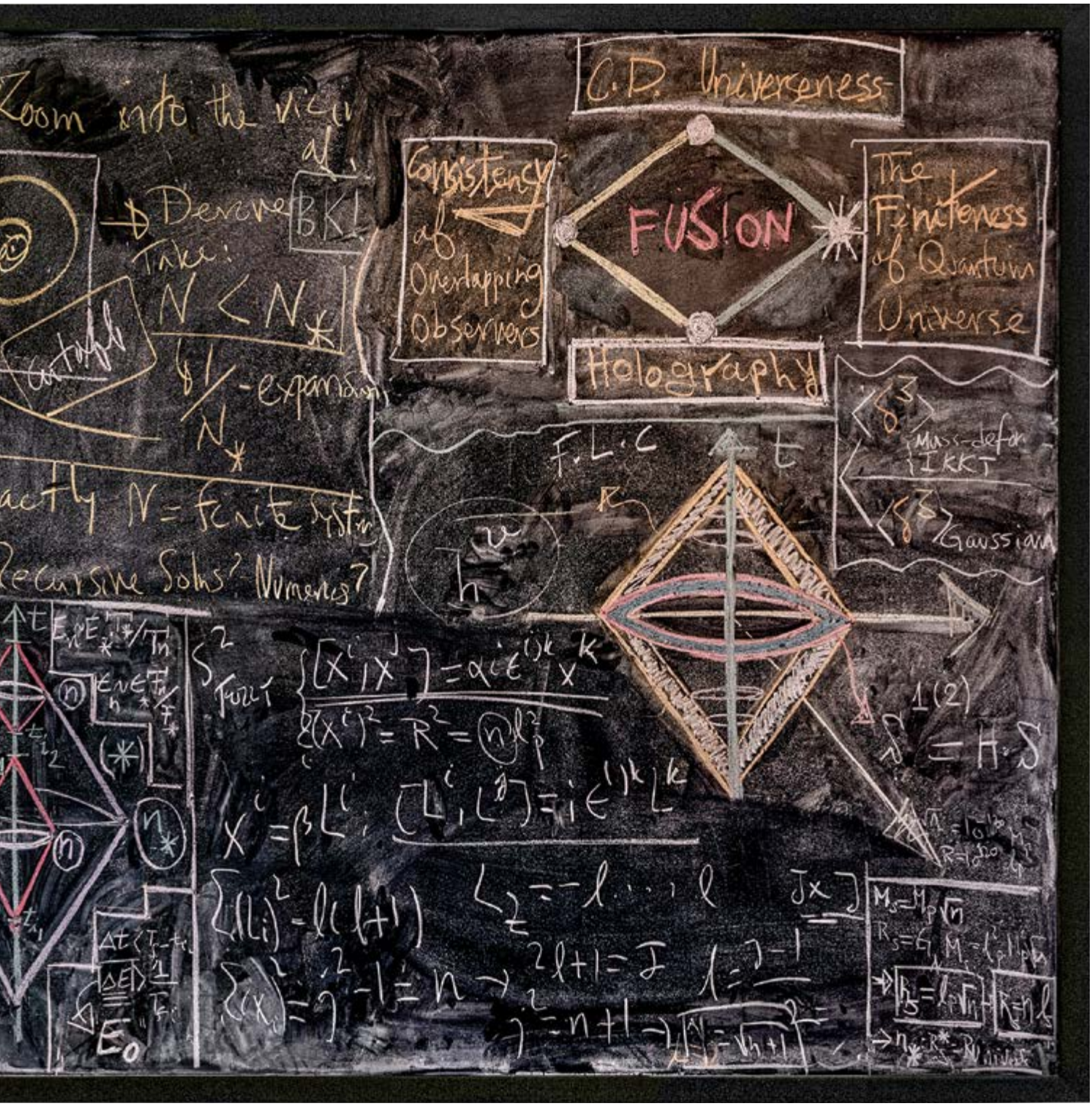
ABOUT THE ART

For his series Momentum, *Alejandro Guijarro traveled to quantum physics departments at the University of Cambridge, Harvard, and elsewhere to shoot large-format photographs of blackboards right after lectures.*



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The need for leadership development has never been more urgent. Companies of all sorts realize that to survive in today's volatile, uncertain, complex, and ambiguous environment, they need leadership skills and organizational capabilities different from those that helped them succeed in the past. There is also a growing recognition that leadership development should not be restricted to the few who are in or close to the C-suite. With the proliferation of collaborative problem-solving platforms and digital "adhocracies" that emphasize individual initiative, employees across the board are increasingly expected to make consequential decisions that align with corporate strategy and culture. It's important, therefore, that they be equipped with the relevant technical, relational, and communication skills.

The leadership development industry, however, is in a state of upheaval. The number of players offering courses to impart the hard and soft skills required of corporate managers has soared. And yet organizations that collectively spend billions of dollars annually to train current and future executives are growing frustrated with the results. Several large-scale industry studies, along with our own in-depth interviews with clients, indicate that more than 50% of senior leaders believe that their talent development efforts don't adequately build critical skills and organizational capabilities. (See the sidebar "The Problems with Traditional Executive Education.")

There are three main reasons for the disjointed state of leadership development. The first is a gap in motivations. Organizations invest in executive development for their own long-term good, but individuals participate in order to enhance their skills and advance their careers, and they don't necessarily remain with the employers who've paid for their training. The second is the gap between the skills that executive development programs build and those that firms require—particularly the interpersonal skills essential to thriving in today's flat, networked, increasingly collaborative organizations. Traditional providers bring deep expertise in teaching cognitive skills and measuring their development, but they are far less experienced in teaching people how to communicate and work with one another effectively. The third reason is the skills transfer gap. Simply put, few executives seem to take what they learn in the classroom and apply it to their jobs—and the farther removed the locus of learning is from the locus of application, the larger this gap becomes. (See the sidebar "The Skills Transfer Gap: What Is Learned Is Rarely Applied.") To develop essential leadership and managerial talent, organizations must bridge these three gaps.

The good news is that the growing assortment of online courses, social and interactive platforms, and learning tools from both traditional institutions and upstarts—which make up what we call the "personal learning cloud" (PLC)—offers a solution. Organizations can select components from the PLC and tailor them to the needs and behaviors of individuals and teams. The PLC is flexible and immediately accessible, and it enables employees to pick up skills in the context in which they must

Idea in Brief

THE PROBLEM
Traditional approaches to leadership development no longer meet the needs of organizations or individuals.

THE REASONS
There are three: (1) Organizations, which pay for leadership development, don't always benefit as much as individual learners do. (2) Providers aren't developing the soft skills organizations need. (3) It's often difficult to apply lessons learned in class to the real world.

THE SOLUTION
A growing assortment of online courses, social platforms, and learning tools from both traditional providers and upstarts is helping to close the gaps.

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be used. In effect, it's a 21st-century form of on-the-job learning.

In this article we describe the evolution of leadership development, the dynamics behind the changes, and ways to manage the emerging PLC for the good of both the firm and the individual.

THE STATE OF LEADERSHIP DEVELOPMENT

The traditional players in the leadership development industry—business schools, corporate universities, and specialized training companies and consultancies—have been joined by a host of newcomers. These include human resource advisory firms, large management consultancies such as McKinsey and BCG, and digital start-ups such as Coursera and Udacity. This is a rapidly shifting landscape of service providers, but it's a world we've gotten to know intimately as educators, advisers, and leaders of the executive education programs at Rotman (in Mihnea's case) and Harvard Business School (in Das's case). And to help make sense of it all, we've constructed a table that compares the players (see the sidebar "The Landscape of Providers").

We're now seeing powerful trends reshaping the industry and fueling the emergence of the PLC as a networked learning infrastructure. First, the PLC has lowered the marginal cost of setting up an in-house learning environment and has enabled chief human resources officers (CHROs) and chief learning officers (CLOs) to make more-discerning decisions about the right experiences for the people and teams in their organizations. A Unicon study reports that the number of corporate universities—which provide education in-house, on demand, and, often, on the job—has exploded to more than 4,000 in the United States and more than twice that number worldwide. We believe that in the future, however, even as firms offer learning opportunities to more leaders throughout their organizations, the shifting cost structure resulting from the digitization of learning environments will lead to only a modest increase in resources devoted to leadership development.

The second trend is the decline of standard classroom-based programs for executive development, such as those primarily offered by business schools and universities. Most organizations are demanding pre- and postmeasures of the acquisition and application of relevant skills—such as communicative competence and leadership acumen—that traditional programs were never designed to deliver.

The third trend is the rise of customizable learning environments, through platforms and applications that personalize content according to learners' roles and their organizations' needs. The dominant platforms now count millions of enrollees in individual courses and tens of millions of total users.

These trends are linked and form a cohesive pattern: As learning becomes personalized, socialized, and adaptive, and as organizations get more sophisticated at gauging the return on investment in talent development, the industry is moving away from prepackaged one-size-fits-all material and turning instead to the PLC. The PLC enables the fast, low-cost creation of corporate universities and in-house learning programs in the same way that platforms such as Facebook and Instagram facilitate the formation of discussion groups. It is the "petri dish" that fosters the rapid growth of learning communities. And it's vital to keeping managers engaged and growing on the job.

Underlying and amplifying these trends is the rapid digitization of

The Problems with Traditional Executive Education

Chief learning officers find that traditional programs no longer adequately prepare executives for the challenges they face today and those they will face tomorrow. Companies are seeking the communicative, interpretive, affective, and perceptual skills needed to lead coherent, proactive collaboration. But most executive education programs—designed as extensions of or substitutes for MBA programs—focus on discipline-based skill sets, such as strategy development and financial analysis, and seriously underplay important relational, communication, and affective skills.

No wonder CLOs say they're having trouble justifying their annual training budgets.

Executive education programs also fall short of their own stated objective. "Lifelong learning" has been a buzzword in corporate and university circles for decades, but it is still far from a reality. Traditional executive education is simply too episodic, exclusive, and expensive to achieve that goal. Not surprisingly, top business schools, including Rotman and HBS, have seen demand increase significantly for customized, cohort-based programs that address companies' idiosyncratic talent-development needs. Corporate universities and the personal learning cloud—the growing mix of online courses, social and interactive platforms, and learning tools from both traditional institutions and upstarts—are filling the gap.

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Cambridge I

content and interaction, which is reshaping the leadership development industry in three important ways. First, it allows the disaggregation (or unbundling) of the low-cost elements of a program from the high-cost ones. Education providers' profits depend on their ability to bundle low-cost content—lectures, case discussions, exercises, and the like—with high-value experiences such as personalized coaching, project-based learning, and feedback-intensive group sessions. The more high-touch services included in the package, the more a provider can charge.

Second, digitization makes it easier to deliver value more efficiently. For example, classroom lectures can be videotaped and then viewed online by greater numbers of learners at their convenience. Similarly, discussion groups and forums to deepen understanding of the lecture concepts can be orchestrated online, often via platforms such as Zoom, Skype, and Google Hangouts, allowing many more people to participate—and with less trouble and expense. Millennials are already comfortable with social media–based interactions, so the value of being physically present on campus may be wearing thin anyway. And because discrete components of an online education program—individual lectures, case studies, and so forth—can be priced and sold independently, the cost of developing various skills has dropped—particularly technical and analytical skills whose teaching and learning have become sufficiently routinized.

Finally, digitization is leading to disintermediation. Traditionally, universities, business schools, and management consultancies have served as intermediaries linking companies and their employees to educators—academics, consultants, and coaches. Now, however, companies can go online to identify (and often curate) the highest-quality individual teachers, learning experiences, and modules—not just the highest-quality programs. Meanwhile, instructors can act as "free agents" and take up the best-paying or most-satisfying teaching gigs, escaping the routines and wage constraints of their parent organizations.

THE RISE OF THE PERSONAL LEARNING CLOUD

The PLC has been taking shape for about a decade. Its components include MOOCs (massive open online courses) and platforms such as

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The Landscape of Providers

As demand grows for executive education that is customizable, trackable, and measurably effective, new competitors are emerging. Business schools, consultancies, corporate universities, and digital platforms are all vying to provide skills development programs, and each player has certain advantages and constraints.

	ADVANTAGE	CONSTRAINT
Business schools with open programs	A large store of intellectual and pedagogical capital	Limited capability to provide contextualized learning
Business schools with customized programs	Can adapt content to the challenges facing the client organization and ensure the transfer of core skills	Inadequate follow-up when customization reaches the realm of personal learning and design
Strategic consultancies	A highly contextualized approach to skills transfer and development	Inadequate technology and know-how for evaluation and feedback
Human resources consultancies	Can identify participants' core skills to create fully individualized coaching and development	A shortage of expertise in relevant functional domains
Corporate universities	Can deliver content that is immediately relevant to the organization, and in the context in which the skills will be applied	Limited ability to measure skills acquisition and application
Remote personalized learning platforms	Low-cost alternatives to programs that transfer functional and technical knowledge	Limits on contextualized learning and the development of relational, affective, and collaborative skills

Coursera, edX, and 2U for delivering interactive content online; corporate training and development ecosystems from LinkedIn Learning, Skillsoft, Degreed, and Salesforce Trailhead, targeting quick, certifiable mastery of core skills in interactive environments; on-demand, solution-centric approaches to leadership development from the likes of McKinsey Solutions, McKinsey Academy, BCG Enablement, and DigitalBCG; and talent management platforms such as SmashFly, Yello, and Phenom People, which make it possible to connect learning needs and learner outcomes to recruitment, retention, and promotion decisions.

The PLC has four important characteristics:

1. **Learning is personalized.** Employees can pursue the skills development program or practice that is right for them, at their own pace, using media that are optimally suited to their particular learning style and work environment. The PLC also enables organizations to track learner behaviors and outcomes and to commission the development and deployment of modules and content on the fly to match the evolving needs of individuals and teams.

2. **Learning is socialized.** As the experiences of Harvard's HBX and McKinsey's Academy series have shown, learning happens best when learners collaborate and help one another. Knowledge—both "know-what" and "know-how"—is social in nature. It is distributed within and among groups of people who are using it to solve problems together. The PLC enables the organic and planned

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The Skills Transfer Gap: What Is Learned Is Rarely Applied

One of the biggest complaints we hear about executive education is that the skills and capabilities developed don't get applied on the job. This challenges the very foundation of executive education, but it is not surprising. Research by cognitive, educational, and applied psychologists dating back a century, along with more-recent work in the neuroscience of learning, reveals that the distance between where a skill is learned (the locus of acquisition) and where it is applied (the locus of application) greatly influences the probability that a student will put that skill into practice.

Indeed, it's much easier to use a new skill if the locus of acquisition is similar to the locus of application. This is called near transfer. For instance, learning to map the aluminum industry as a value-linked activity chain transfers more easily to an analysis of the steel business (near transfer) than to an analysis of the semiconductor industry (far transfer) or the strategy consulting industry (farther transfer).

To be sure, when we say "distance," we're not referring just to physical range. New skills are less likely to be applied not only when the locus of application is far from the locus of acquisition in time and space (as when learning in an MBA classroom and applying the skills years later on the job) but also when the social (Who else is involved?) and functional (What are we using the skill for?) contexts differ.

Anecdotal evidence on skills transfer suggests that barely 10% of the $200 billion annual outlay for corporate training and development in the United States delivers concrete results. That's a staggering amount of waste. More to the point, it heightens the urgency for the corporate training and executive development industries to redesign their learning experiences.

formation of teams and cohorts of learners who are jointly involved in developing new skills and capabilities.

3. Learning is contextualized. As our interviews revealed, and as recent evidence from LinkedIn Learning has shown, most executives value the opportunity to get professional development on the job, in ways that are directly relevant to their work environment. The PLC enables people to do this, allowing them to learn in a workplace setting and helping ensure that they actually apply the knowledge and skills they pick up.

4. Learning outcomes can be transparently tracked and (in some cases) authenticated. The rise of the PLC does not imply the demise of credentialing or an end to the signaling value of degrees, diplomas, and certificates. Quite the contrary: It drives a new era of skills- and capabilities-based certification that stands to completely unbundle the professional degree. Indeed, in more and more cases, it's no longer necessary to spend the time and money to complete a professional degree, because organizations have embraced certifications and microcertifications that attest to training in specific skills. And seamless, always-on authentication is quickly becoming reality with the emergence of blockchains and distributed ledgers—such as those of Block.io and Learning Machine. Microcredentials are thus proliferating, because the PLC enables secure, trackable, and auditable verification of enrollment and achievement.

The PLC makes it possible for CLOs and CHROs to be precise both about the skills they wish to cultivate and about the education programs, instructors, and learning experiences they want to use. The PLC's expanding ecosystem covers a broad array of skills. At one end lie functional skills (such as financial-statement analysis and big-data analytics) that involve cognitive thinking (reasoning, calculating) and algorithmic practices (do this first, this next). The PLC is already adept at helping individuals learn such skills at their own pace, and in ways that match the problems they face on the job.

At the other end of the spectrum lie skills that are difficult to teach, measure, or even articulate; they have significant affective components and are largely nonalgorithmic. These skills include leading, communicating, relating, and energizing groups. Mastery depends on practice and feedback, and the PLC is getting steadily better at matching talented coaches and development experts with the individuals and teams that need such training.

But this is just the beginning. The PLC is proving to be an effective answer to the skills transfer gap that makes it so difficult to acquire communicative and relational proficiencies in traditional executive education settings. Meaningful, lasting behavioral change is a complex process, requiring timely personalized guidance. Startups such as Accompany.io and Butterfly Coaching & Training are providing executive teams with a fabric of interactive activities that emphasize mutual feedback and allow them to learn on the job while doing the work they always do. BCG's Amethyst platform allows both executives and teams to enter into developmental relationships with enablers and facilitators so that they can build the collaborative capital they and their organizations need.

The ubiquity of online training material allows CLOs to make choices among components of executive education at levels of granularity that

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have simply not been possible until now. They can purchase only the experiences that are most valuable to them—usually at a lower cost than they would pay for bundled alternatives—from a plethora of providers, including coaches, consultants, and the anywhere, anytime offerings of the PLC. And executives are able to acquire experiences that fulfill focused objectives—such as developing new networks—from institutions such as Singularity University and the Kauffman Founders School, which are specifically designed for the purpose.

For learners, the PLC is not just an interactive learning cloud but also a distributed microcertification cloud. Blockchain-trackable microdegrees that are awarded for skill-specific (rather than topic-specific) coursework allow individuals to signal credibly (that is, unfakeably) to both their organizations and the market that they are competent in a skill. In addition, the PLC addresses the motivations gap by allowing both organizations and executives to see what they're buying and to pay for only what they need, when they need it.

Finally, the PLC is dramatically reducing the costs of executive development. Traditional programs are expensive. Courses take an average of five days to complete, and organizations typically spend between $1,500 and $5,000 per participant per day. These figures do not include the costs of selecting participants or measuring how well they apply their newly acquired skills and how well those skills coalesce into organizational capabilities. Nor do the figures account for the losses incurred should participants choose to parlay their fresh credentials and social capital into employment elsewhere. Assuming, conservatively, that these pre- and posttraining costs can amount to about 30% of the cost of the programs, externally provided executive development can cost a company $1 million to $10 million a year, depending on the industry, the organizational culture and structure, and the nature of the programs in which the enterprise invests.

By contrast, the PLC can provide skills training to any individual at any time for a few hundred dollars a year. Furthermore, these cloud services allow organizations to match cost to value; offer client-relation management tools that can include preassessment and tracking of managerial performance; and deliver specific functional skills from high-profile providers on demand via dedicated, high-visibility, high-reliability platforms. Thus a 10,000-person organization could give half its employees an intensive, year-round program of skills development via an internally created and maintained cloud-based learning fabric for a fraction of what it currently pays to incumbent providers for equivalent programs.

WHAT THE FUTURE HOLDS

For companies that tap into the PLC, the fixed costs of talent development will become variable costs with measurable benefits. Massively distributed knowledge bases of content and learning techniques will ensure low marginal costs per learner, as learning becomes adaptive. The ability to clearly specify the skill sets in which to invest, and the ability to measure the enhancement of individuals' learning and firms' capabilities, will ensure that the (variable) cost base of a corporate university can be optimized to suit the organization and adapted as necessary.

Individual learners will benefit from a larger array of more-targeted offerings than the current ecosystem of degrees and diplomas affords, with the ability to credibly signal skills acquisition and skills transfer in a secure distributed-computing environment. People will be able to map out personalized learning journeys that heed both the needs of their organizations and their own developmental and career-related needs and interests. And as the PLC reduces the marginal and opportunity costs of learning a key skill and simultaneously makes it easier to demonstrate proficiency, far more people will find it affordable and worthwhile to invest in professional development.

Meanwhile, with CLOs having greater visibility into the skills-development blueprints that providers use, the signaling value of traditional providers' offerings will decline because their programs will become easily replicable. That's already evident from the increasing number of "bake-offs" in which the leading B-schools are having to participate to win corporate business. Recently a prominent global financial-services firm considered training proposals from no fewer than 10 top-tier schools in the final round of evaluation—reflecting competition in the market that would not have happened even five years ago.

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Increased competition will force incumbents to focus on their comparative advantage, and they must be mindful of how this advantage evolves as the PLC gains sophistication. We already see that the disaggregation of content and the rise of "free agent" instructors has made it possible for new entrants to work directly with name-brand professors, thus diminishing the value that many executive education programs have traditionally provided.

Now the PLC is starting to cut into the domain of higher-touch classroom-type experiences, with live case teaching and "action learning" programs that involve web-based case discussions and customized opportunities to tackle real-life problems. These advances are made possible by the capacity of online learning environments to offer synchronous multiperson sessions and to monitor participants via eye-tracking and gaze-following technologies. For example, IE Business School, in Madrid, uses technology that tracks facial expressions to measure the engagement of learners and facilitators in its online executive education programs. The Rotman School of Management's Self-Development Lab uses an emotional spectroscopy tool that registers people's voices, faces, and gazes as they converse.

Business schools will need to significantly rethink and redesign their current offerings to match their particular capabilities for creating teachable and learnable content and for tracking user-specific learning outcomes. They need to establish themselves as competent curators and designers of reusable content and learning experiences in a market in which organizations will need guidance on the best ways of developing and testing for new skills. Given the high marginal and opportunity costs of on-campus education, business schools should reconfigure their offerings toward blended and customized programs that leverage the classroom only when necessary.

Meanwhile, newcomers in leadership development are benefiting significantly from the distributed nature of the PLC—cherry-picking content, modules, and instructors from across the industry to put together the most compelling offerings for their client organizations. Large consultancies such as McKinsey and BCG can tap into their deep knowledge of organizational tasks, activities, and capabilities to provide clients with a new generation of flexible learning experiences, alongside their traditional strategic, organizational, operational, and financial "solution blueprints." Other entrants—such as human resources consultancies—can lean on their privileged access to organizational talent data (selection metrics and the traits of the most sought-after applicants) to design PLC-enabled "personal development journeys" for new hires, guided by best practices for building skills and tracking learning outcomes.

For individual learners, acquiring new knowledge and putting it into practice in the workplace entails significant behavioral change—something the skills transfer gap tells us is very hard and costly to accomplish through such purely didactic methods as lectures, quizzes, and exams. However, PLC applications that measure, track, and shape user behavior are a powerful way to make prescriptions and proscriptions actionable every day.

In the past, it was hard for the traditional players in leadership development to provide an ROI on the various individual components of their bundled programs. But the PLC is making it possible to measure skills acquisition and skills transfer at the participant, team, and organizational levels—on a per-program, per-session, per-interaction basis. That will create a new micro-optimization paradigm in leadership education—one that makes learning and doing less distinct. The payoff will be significant, for if a new concept, model, or method is to make a difference to an organization, it must be *used* by its executives, not just understood intellectually. And as platforms change the nature of talent development, leaders will emerge with the skills—and enough real-world practice applying them—to do the right thing, at the right time, for the right reason, in the right way.

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Learn from People, *Not* Classes

Whom do you know, and what can they teach you?

Reid Hoffman
Cofounder, LinkedIn

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Entrepreneur

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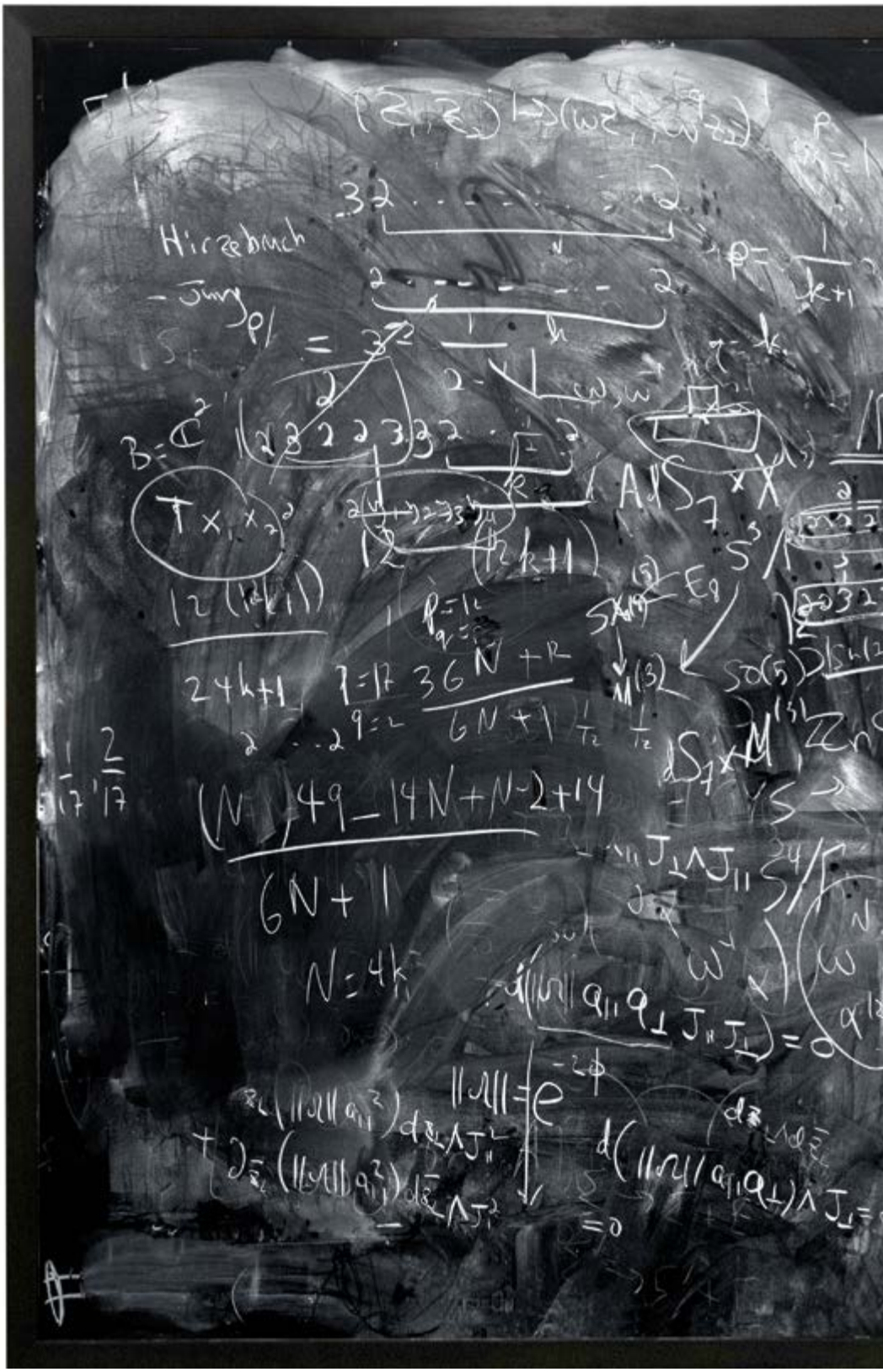
Founder and partner, Village Global

OVER THE PAST two decades the internet has reshaped our daily lives and the world of business—so it's not surprising that it's transforming how companies develop talent. The emergence of a "personal learning cloud" makes it convenient and affordable for people to access new ways to learn. And that's a necessity: To keep pace with change and avoid disruption, business leaders must become what we call *infinite learners*—those who not only enjoy learning but feel a constant need to acquire new skills. The leaders and disrupters we meet in Silicon Valley and around the world are distinguished by the speed at which they zip up the learning curve. Regardless of age or industry, infinite learners are different from those who



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become terrified when suddenly required to learn something new—they find the challenge exhilarating.

Among the executives we meet, however, very little of this learning takes place in formal classes or programs, including online ones. Even as courses go virtual, executive education will struggle to keep pace if a company's environment is constantly changing. Picking courses out of a catalog won't provide the tools needed to adapt. We have interviewed many dozens of successful entrepreneurs and executives over the years, for our books and our podcasts, and we can't recall any who said that an executive education class played a vital role in their success.

The most successful leaders we know learn in a different way: by tapping into what we call *network intelligence*.

Consider how Reid solved a major business issue at PayPal by drawing on the knowledge of his network. At the time, PayPal was suffering seemingly endless delays in the launch of PayPal Japan. Each week its attorneys would find new regulatory issues that prolonged the process. Reid called eight friends with good connections in Japan and asked whom they knew who might be able to help. Three mentioned the same name: Joi Ito, a venture capitalist and entrepreneur. One introduction later, Reid was talking with him about the situation. Ito found a consultant who obtained a letter from the Japanese financial services agency stating that PayPal could launch its service immediately so long as the site wasn't in Japanese; English-language websites weren't legally considered to be operating in Japan. PayPal Japan debuted shortly thereafter, and Reid and Joi—who now directs the MIT Media Lab—struck up a friendship and collaboration that is still going strong.

Granted, it's usually easier to build a learning network if you're employed by a well-known firm, have a broad existing network, or have something in your background that will incline people to respond to your request. But it's worth the effort, given the potential of learning via one-on-one conversation. In that setting people often offer observations they might not share in a large group, online, or in writing. And because learning via conversation is driven by your questions, the lessons are delivered at your level. It also requires that you do your homework—there's no lurking passively in the (literal or virtual) back row.

Here's another instance of the power of one-on-one learning. When Brian Chesky, a true infinite learner, was scaling up Airbnb, he sought advice from people such as Warren Buffett. "If you find the right source, you don't have to read everything," Chesky told the class we teach at Stanford. "I've had to learn to seek out the experts. I wanted to learn about safety, so I went to George Tenet, the ex-head of the CIA."

Still, the world is full of experts who lack boldface names. "Talk with other entrepreneurs, not just famous entrepreneurs," the Dropbox cofounder Drew Houston told Reid on the *Masters of Scale* podcast. "Look for people who are one year, two years, five years ahead of you. You [will] learn very different and important things."

Online courses can be highly useful in some cases, especially for learning a specific technical skill (such as coding) or a managerial task (such as conducting a performance review) that's so ubiquitous that it rarely requires customization. Chris's teenage son takes online courses to develop his computer animation and video game design skills and finds them highly convenient and effective—he can learn on demand, without leaving his bedroom. This kind of online learning belongs in any leader's tool kit.

But it's smart to consider formal classes to be *a* source, not *the* source, of learning. Two decades ago Bill Gates wrote, "The most meaningful way to differentiate your company from your competition, the best way to put distance between you and the crowd, is to do an outstanding job with information. *How you gather, manage, and use information will determine whether you win or lose.*" This could not be truer today—but the way we've been socialized to think about information and knowledge is insufficient. Our formal education system treats knowledge as a fixed asset acquired during a certain phase of life. In reality, knowledge is constantly changing, and good leaders never stop acquiring and assimilating it.

In the Networked Age, every day is exam day—full of new, unpredictable challenges. Often the best way to learn how to meet them is to talk to people who have faced similar situations. All you need to do is ask.

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"We're Giving Ownership of Development to Individuals"

A roundtable with chief learning officers

TO UNDERSTAND how the "personal learning cloud" is changing the way companies think about developing executive talent, HBR editor Amy Bernstein and senior editor Daniel McGinn spoke with three heads of learning and development (L&D). Sankaranarayanan "Paddy" Padmanabhan is the executive chairman at Tata Business Excellence Group. Samantha Hammock is the chief learning officer at American Express. Nick van Dam was formerly the global chief learning officer at McKinsey & Company, where he is currently an external senior adviser; he was recently named chief learning officer at IE University. (Disclosure: The three firms are or have been clients of HBR's parent company, Harvard Business Publishing, which sells executive development programs.) Edited excerpts follow.

HBR: Paddy, how is leadership development changing at Tata?

PADMANABHAN: Back in the 1960s we created the Tata Management Training Centre, and for many years that was the primary way we developed leaders. But in the past 15 years we've gone beyond that. For very senior leaders—the C-level people in our businesses, and often the next level down—we look to outside institutions, including Harvard Business School, Stanford, the University of Chicago, the Indian Institute of Management, and London Business School. We nominate people for development programs at those schools, and employees are eager to

Illustrations by **BEN KIRCHNER**

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"Development has gone far beyond the classroom: Today it's more of a conversation."

attend. Because Tata is a $110 billion holding company with dozens of operating companies, we also run a leadership culturalization program. It's very important that people be exposed to various companies within Tata, so we send executives to spend two or three days in different parts of the group. They immerse themselves, meet people, and create informal networks. We also do a lot through webinars. Development has gone far beyond the classroom: Today it's more of a conversation, with a lot of emphasis on building a knowledge network.

Samantha, what are the biggest changes at American Express?

HAMMOCK: Traditional learning and development has gone from instructor-led classroom training to virtual, global, scalable options. We've done this because work has changed. Companies aren't only more global; they are more virtual. More people work from home, which makes it impossible to do constant classroom training. The virtual approach also gives people flexibility and appeals to the fact that they want to learn differently. Some employees do the programs at night. Others want to do them during working hours. The biggest thing we get from virtual programs is that people can fit them into their lives.

Nick, what about at McKinsey?

VAN DAM: We're in the intellectual capital business, so we need continual development and learning. That is the central part of our core talent strategy. McKinsey is often referred to as a leadership factory; we have more than 440 alumni serving as CEOs of multibillion-dollar companies. The biggest change in the past five years is the growth of demand for development. Our culture is now very inclusive in this regard: We look at all 28,000 of our people to determine how they can develop themselves. That requires broadening and deepening our capabilities. Clients expect us to be on the leading edge of thinking and doing and sharing insights, so we need to accelerate the development of people's capabilities.

With careers becoming less linear, is it hard to know what skills people need?

PADMANABHAN: When you have flatter organizations and fewer career "ladders," growth can become a challenge. We cope with that by creating a competency framework that addresses the skills and attributes required for every leadership role. If you're going to be the head of our U.S. business, it spells out the capabilities and attributes you must have. If you're going to be the production manager of a motor facility, you need different skills and attributes. These frameworks are only 50% or 60% perfect. A person's attitude, behavior, and presence also matter, so we give people opportunities to develop those, too. As ladder promotions become less common, career growth happens through movement across our group companies. This isn't a challenge at the C-suite level; it becomes a challenge a level or two down, when people have 10 to 15 years of experience and are ready to become a unit head or take P&L ownership. That's where bottlenecks can occur.

Is anything lost as talent development programs shift online?

HAMMOCK: You can never replace face-to-face interaction. The feedback from our big in-person sessions shows the value of bringing people together. But it's no longer possible or effective to have that be 80% of your model. Technology is creating better ways to conduct learning virtually. People can join from anywhere and feel like they're in class together.

In your programs, has the mix of soft and hard skills changed?

VAN DAM: It's difficult to cite a percentage, because a lot of development isn't about what happens in the classroom or on a digital learning platform. Leadership development is an ecosystem. There's learning on the job; there's client experience; there's staffing, apprenticeship, mentoring. Each is a building block. So is our performance culture. We have very clear expectations of people at different points in their careers, and we give extensive feedback that provides ongoing development goals. That lets people personalize their development; we call it Making Your Own McKinsey. The goal is to ensure that people are leading their own careers, exploring what they want to do, and making their own choices. We're giving ownership of development to individuals.

HAMMOCK: In terms of hard versus soft skills, they might shift in the future, but I don't think they have changed drastically to date. What *has* changed is how quickly hard skills can become obsolete, especially in technical roles. People struggle to stay ahead on the technical side, and they tend to be reactive—waiting to see how technology evolves so that they know what they need to learn next.

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"There's a tremendous opportunity to turn the workplace into a learning place."

How challenging is it to personalize talent development?

VAN DAM: There are challenges. One relates to how you define people's career paths. Development experiences will vary according to career paths, and different roles require different competencies. Even in a classroom environment, different people will require different levels of proficiency. When it comes to digital learning, we curate content that we believe is the best fit for people's capability development. Our people like to know what's expected of them, and they don't want to spend a lot of time trying to figure out which of the 50 digital learning objects might be right for them. They want us to direct them to the best, most relevant content. Some people like to learn by watching a video rather than reading a PDF. That's another level of personalization. Finally, personalization is also about how much time people can allocate to learning programs.

When employees are learning virtually, how important is it to form relationships with other participants?

HAMMOCK: Cohorts are critical. Even with virtual work, a top success factor is a well-rounded, diverse cohort that helps people feel engaged. We put a lot of care into assembling these groups so that our employees have a positive experience.

With the shift to digital learning, do you worry about whether people are taking the time to participate?

PADMANABHAN: For midlevel employees and below, most knowledge is delivered via digital media. Every company has its own method. Take a store manager in a retail chain. That person will receive content on his or her smartphone that's focused on building the capabilities necessary to manage the store. That kind of content is largely about convenience, so there might be 15-minute modules. The convenience increases utilization. For people who are 25 or 30, who grew up on YouTube and online, this form of learning is prevalent, so utilization isn't a problem. For people over 45 and at senior levels, digital learning isn't as common. For them, leadership development continues to be in the classroom and on the job, partly because that provides better networking opportunities.

How do you measure L&D's success?

PADMANABHAN: For the CEOs who lead Tata Group's 100 or so businesses, we assess it on the basis of their performance. Within a couple of years of moving into the job, can the CEO manage multiple stakeholders? Is the CEO comfortable in the role? Many things contribute to how each CEO develops, but we look at whether learning and development programs and job rotations have contributed to creating an effective CEO, CXO, or group head. It's very difficult to measure the effectiveness of these programs for leaders. At lower levels there are more-measurable skills—a link to productivity, or better customer satisfaction. But at high levels it's hard to attribute leadership to the effectiveness of training in any systematic manner.

VAN DAM: For us, it's about how we can make sure we have more impact for our clients and how we can expand the scope. Can we do it better? We can grow only if we have more partners in the firm, so one measure is how well we are developing people to become partner. We also see the value of investments in L&D when we are attracting people. Today more people decide to join an organization because they believe it's a place where they can take their skills to the next level, so L&D is linked to recruiting. Nobody at McKinsey would ever ask me to do a purely financial return-on-investment calculation about every dollar we spend on learning and development; you can't do that. But we know there is an ROI and a huge client impact. We also know that formal leadership development is only one piece of the pie. Globally and across industries, the typical person spends something like 40 hours a year in formal learning programs, out of 1,800 hours on the job. So there's a tremendous opportunity in many organizations to advance on-the-job development by turning the workplace into a learning place.

Is the cost of developing talent hard to justify when people are likely to leave the firm for their next job?

HAMMOCK: We've spent a lot of time debating that, particularly in the past year, when we made a large investment in our flagship leadership program. Ultimately we decided that we want to grow great leaders, and we want American Express to be known for that. For instance, we encourage employees to list the certifications they earn on their LinkedIn page, even though that increases their visibility externally. Ideally we want them to find their next opportunity internally, but we know some of them will move on, and that's OK.

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